

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 1
Honorable Eunice Lee, Presiding
TBD, Courtroom Clerk
191 North First Street, San Jose, CA 95113

DATE: June 18, 2026 TIME: 9:00 A.M. and 9:01 A.M.

**To contest the ruling, call the Court at (408) 808-6856 before 4:00 P.M.
Make sure to also let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court, Rule 3.1308(a)(1) and Local Rule 8D.**

****Please specify the issue to be contested when calling the Court and counsel****

LAW AND MOTION TENTATIVE RULINGS

FOR APPEARANCES: Department 1 is fully open for in-person hearings. The Court strongly prefers **in-person** appearances for all contested law and motion matters. For all other hearings, appearances must be **in-person or by video**. Department 1 uses Unicorn Digital Courtroom (UDC) platform. Please click on this link if you need to appear remotely and then scroll down to the link for Department 1: <https://santaclara.courts.ca.gov/online-services/remote-hearings>. This system requires advance registration with a case number and hearing date. **Telephonic appearances are prohibited, unless permitted by the Court.** (Local Rule 5). If you must appear virtually, you must use video.

SCHEDULING MOTION HEARINGS: Please go to <https://reservations.scscourt.org> or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri). to reserve a hearing date for your motion before you file and serve it. You must then file your motion papers no more than five court days after reserving the hearing date, or else the date will be released to other cases.

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RECORDING IS PROHIBITED: As a reminder, most hearings are open to the public, but state and local court rules prohibit recording of court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

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LAW AND MOTION TENTATIVE RULINGS

9:00 A.M.			
LINE 1	24CV440449	Negar Ajayebi vs Mijia Jiang	Motion to Compel Deposition; Production of Documents & Sanctions OFF CALENDAR. On June 16, 2026, moving party/Defendant Mijia Jiang withdrew her motion to compel Plaintiff Negar Ajayebi's attendance at deposition and production of documents, and sanctions in the amount of \$2,400.00 that was filed on December 18, 2026. The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on June 5, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (<i>Laguna Auto Body v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 489). Given the withdrawal of the motion and non-opposition, the motion is taken off calendar.
LINE 2	24CV450235	Trisha Cardenas et al vs Avalonbay Communities, Inc. et al.	Motion to Strike Scroll down to Line 2 for Tentative Ruling.
LINES 3-4	24CV452605	Adriana Guicho vs General Motors, LLC.	Motion to Strike (Line # 3) and Demurrer (Line # 4) Scroll down to Lines 3-4 for Tentative Ruling.
LINE 5	25CV460390	Raymond Privette et al vs Ford Motor Company et al	Petition to Compel Arbitration OFF CALENDAR. On September 10, 2025, Defendant Future Ford Lincoln of Roseville filed this motion to compel arbitration. On June 5, 2026, Plaintiffs Raymond and Judy Privette filed a request for dismissal of defendant Future Ford Lincoln of Roseville. Thus, this motion is rendered moot.
LINE 6	25CV480225	Halo Microelectronics Co., Ltd. et al vs Darson Zhang	Petition to Compel Arbitration Scroll down to Line 6 for Tentative Ruling.

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LAW AND MOTION TENTATIVE RULINGS

9:01 A.M.			
LINE 1	21CV391687	Oswald Campesato vs Jiahua Huang et al	Order Determining Claim of Exemption Parties to appear. Scroll down to 9:01 A.M. Line 1 for Tentative Ruling.
LINE 2	23CV423653	Ampere Computing LLC vs FICT Limited	Application for <i>Pro Hac Vice</i> Counsel <u>I. BACKGROUND</u> On May 27 2026, Plaintiff Ampere Computing LLC filed this unopposed application for Rieko Yamauchi to be admitted as <i>pro hac vice</i> counsel. Upon receiving notice of the motion on May 26, 2026, defense counsel for FICT Limited responded that it would not oppose the application. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. Failure to oppose a motion leads to the presumption that the plaintiff has no meritorious arguments. (<i>Laguna Auto Body v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 489). <u>II. LEGAL STANDARD</u> Pursuant to California Rule of Court, rule 9.40(a), for an out-of-state lawyer, not admitted to practice in California may apply for <i>pro hac vice</i> admission. The application must include the following: (1) the applicant must be admitted to practice before a U.S. court, or the highest court of any state or territory; (2) he or she must not be a California resident, nor regularly engaged in practice or other business here; and (3) a member of the California Bar must be associated as attorney of record in the case. A verified application must be filed stating (1) the applicant's residence and office addresses; (2) the court or courts in which he or she is admitted to practice and the dates of admission; (3) that he or she is currently in good standing in such courts; (4) that he or she has not been suspended or disbarred in any court; (5) the title and case number of any California action

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LAW AND MOTION TENTATIVE RULINGS

LINE 2	23CV423653	Ampere Computing LLC vs FICT Limited	in which he or she has applied to appear pro hac vice during the preceding two years, the date of each application, and whether or not it was granted; and (6) the name, address and telephone number of the active member of the State Bar who is attorney of record. (Cal. Rule Court, Rule 9.40(d)—filing fee must accompany application). Copies of the application must be served by mail upon all parties who have appeared in the action, and also upon the State Bar at its San Francisco office at least 16 court days before the hearing under Code of Civil Procedure section 1005. III. <u>ANALYSIS</u> Here, the verified application to admit Rieko Yamauchi, who is a member of New York State Bar complies with Rule of Court, rule 9.40. IV. <u>CONCLUSION</u> Based on the foregoing, the unopposed application for admission of Rieko Yamauchi <i>pro hac vice</i> on behalf of Plaintiff Ampere Computing LLC is GRANTED. The Court executed the proposed order that was attached to the Application.
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9:00 A.M.

Calendar Lines # 2

Case Name Trisha Cardenas et al vs Avalonbay Communities, Inc. et al.

Case No. 24CV450235

Motion to Strike

I. BACKGROUND

On September 9, 2025, Defendants Avalonbay Communities, Inc. et al., filed a motion to strike a portions, punitive damages, of Plaintiff Trisha Cardenas' First Amended Complaint ("FAC"). Defendants aver that the plaintiff fails to plead specific facts alleging "oppression, fraud, or malice" required to support an award of punitive damages under Civil Code section 3294(a). The motion was accompanied by a proof of service indicating electronic service on the same day.

Plaintiff filed its FAC on August 8, 2025. Defendants seeks to strike the punitive and exemplary damages portions alleged on page 12 of the plaintiff's FAC under ¶ 2 (approximately line numbers 21-22) that allege: "For punitive and exemplary damages against all named and DOE Defendants in the statutorily prescribed amounts or amounts to be proved at trial."

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on June 5, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c); *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410). Failure to oppose a motion leads to the presumption that the plaintiff has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure 436, subdivision (a), the court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code of Civ. Proc., § 436(b)). The grounds for a motion to strike are that the pleading has irrelevant, false or improper matter, or has not been drawn or filed in conformity with laws. (Code of Civ. Proc., § 436). The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code of Civ. Proc., § 437). In ruling on a motion to strike, the court must assume the truth of the properly pleaded facts in the complaint or other pleading. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63). "When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend." (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768).

III. ANALYSIS

Defendant meets its burden. Further, no opposition papers were filed. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c); *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410). Failure to oppose a motion leads to the presumption that the plaintiff has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

IV. CONCLUSION

Based on the foregoing, and the motion being unopposed, the Court GRANTS the motion to strike the punitive damages portion of the plaintiff's FAC. Specifically, punitive and exemplary damages portions alleged on page 12 of the plaintiff's FAC under ¶ 2 (approximately line numbers 21-22) that allege: "For punitive and exemplary damages against all named and DOE Defendants in the statutorily prescribed amounts or amounts to be proved at trial." The Court will prepare the Order.

Calendar Lines # 3-4
Case Name Adriana Guicho vs General Motors, LLC.
Case No. 24CV452605
Motion to Strike (Line # 3) and Demurrer (Line # 4) Before the court is Defendant General Motors, LLC’s (“GM”)’s motion to strike punitive damages from Plaintiff Adraian Guicho’s (“Guicho”) First Amended Complaint (“FAC”) (Line #3) and demurrer to Plaintiff’s FAC (Line #4). The Court addresses Defendant’s Demurrer (Line #4) first and then the Motion to Strike (Line #3). Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. The Background portion is addressed in the Demurrer analysis. <u>DEMURRER (LINE # 4)</u> <u>I. BACKGROUND</u> On or about March 15, 2017, Plaintiff Guicho entered into a warranty contract with defendant GM regarding a 2017 Chevrolet Colorado vehicle (vehicle identification number: 1GCGSBEA2H1187494) (“Subject Vehicle”). (First Amended Complaint (“FAC”), ¶6). Defects and nonconformities to warranty manifested themselves within the applicable express warranty period including, but not limited to, transmission defects, engine defects, and electrical defects. (FAC, ¶11). Said defects/ non-conformities substantially impair the use, value, or safety of the Subject Vehicle. (FAC, ¶12). Defendant GM has failed to either promptly replace the Subject Vehicle or to promptly make restitution. (FAC, ¶14). On November 25, 2024, Plaintiff filed a complaint against defendant GM asserting causes of action for: (1) Violation of subdivision (d) of Civil Code section 1793.2 (2) Violation of subdivision (b) of Civil Code section 1793.2 (3) Violation of subdivision (a)(3) of Civil Code section 1793.2 (4) Breach of the Implied Warranty of Merchantability (5) Fraudulent Inducement – Concealment On January 31, 2025, defendant GM filed a demurrer and motion to strike Plaintiff’s complaint. On August 14, 2025, prior to a hearing on defendant GM’s demurrer and motion to strike, Plaintiff filed the now operative FAC which continues to assert the same causes of action asserted in Plaintiff’s original complaint. On September 9, 2025, defendant GM filed the two motions now before the court, a demurrer to Plaintiff’s FAC and a motion to strike the prayer for punitive damages from Plaintiff’s FAC. <u>II. LEGAL STANDARD</u> Code of Civil Procedure section 871.21 sets forth only three circumstance in which the six-year limit “shall be tolled.” (1) As provided by tolling requirements prescribed in subdivision (c) of Section 1793.22 of the Civil Code, as applicable. (2) For the time the motor vehicle is out of service by reason of repair for any nonconformity. (3) For the time period after a pre-suit notice is provided to the manufacturer in accordance with [Code of Civil Procedure] Section 871.24, which time period shall not exceed 60 days.

“‘[W]hile a statute of limitations normally sets the time within which proceedings must be commenced once a cause of action accrues, [a] statute of repose limits the time within which an action may be brought and is not related to accrual. Indeed, “the injury need not have occurred, much less have been discovered. Unlike an ordinary statute of limitations which begins running upon accrual of the claim, [the] period contained in a statute of repose begins when a special event occurs, regardless of whether a cause of action has accrued or whether any injury has resulted.” [Citation.]’” (*McCann v. Foster Wheeler LLC* (2010) 48 Cal.4th 68, 78–79, fn. 2 [105 Cal. Rptr. 3d 378, 225 P.3d 516], quoting *Giest v. Sequoia Ventures, Inc.* (2000) 83 Cal.App.4th 300, 305 [99 Cal. Rptr. 2d 476]; accord, *Cossmann v. DaimlerChrysler Corp.* (2003) 108 Cal.App.4th 370, 379, fn. 8 [133 Cal. Rptr. 2d 376]).

Whereas statutes of limitations affect a remedy, statutes of repose extinguish a right of action after the period has elapsed. (*Stuart v. American Cyanamid Co.* (2d Cir. 1998) 158 F.3d 622, 627; 51 Am.Jur.2d (2011) Limitation of Actions, § 354, pp. 762–763 [“a statute of repose ... nullifies both the remedy and the right”]; 51 Am.Jur.2d, supra, Limitation of Actions, § 24, p. 507 [statute of repose “extinguishes the action, or terminates any right to action, after a fixed period of time has elapsed” (fns. omitted)]). The effect of a statute of repose “‘is [thus] harsher than a statute of limitations in that it cuts off a right of action after a specified period of time, irrespective of accrual or even notice that a legal right has been invaded. [Citation.]’” (*McCann v. Foster Wheeler LLC*, supra, 48 Cal.4th at p. 78, fn. 2, quoting *Giest v. Sequoia Ventures, Inc.*, supra, 83 Cal.App.4th at p. 305). Put another way, a statute of repose “‘does not cut off an existing right of action, but rather provides that nothing which happens thereafter can be a cause of action.’” (*San Diego Unified School Dist. v. County of San Diego* (2009) 170 Cal.App.4th 288, 301 [87 Cal. Rptr. 3d 796], quoting *Inco Development Corp. v. Superior Court* (2005) 131 Cal.App.4th 1014, 1020 [31 Cal. Rptr. 3d 872]; accord, *CTS Corp.*, supra, 573 U.S. at p. ____ [134 S.Ct. at p. 2187] [a statute of repose “mandates that there shall be no cause of action beyond a certain point, even if no cause of action has yet accrued. Thus, a statute of repose can prohibit a cause of action from coming into existence”]). (*PGA West Residential Assn., Inc. v. Hulven Internat., Inc.* (2017) 14 Cal.App.5th 156, 177-178 (*PGA*)).

III. ANALYSIS

A. FIRST AND FOURTH CAUSES OF ACTION UNDER THE SONG-BEVERLY ACT

Defendant GM’s argues the first four causes of action of Plaintiff’s FAC are barred by a statute of repose found at Code of Civil Procedure section 871.21, subdivision (b), which states, “Notwithstanding subdivision (a), an action covered by Section 871.20¹ shall not be brought later than six years after the date of original delivery of the motor vehicle.” Defendant GM invites this court to infer from the allegation that Plaintiff entered into a warranty contract for the Subject Vehicle on March 15, 2017 that March 15, 2017 is also the date of purchase and of original delivery and the six year statute of repose ended on March 15, 2023. Since Plaintiff did not commence this action until November 25, 2024, defendant GM contends the first four causes of action of Plaintiff’s FAC are barred.

¹ Code of Civil Procedure section 871.20, subdivision (a) of that section (effective prior to April 2, 2025 as Plaintiff’s complaint was filed November 25, 2024) states: “Notwithstanding any other law, this chapter applies to an action to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.” Defendant GM concludes generally that Plaintiff’s FAC (and, in particular, the first four causes of action) is an action which seeks restitution or replacement of a motor vehicle pursuant to Civil Code section 1793.2, i.e., claims under the Song-Beverly Act.

Even assuming March 15, 2017 is the original date Plaintiff took delivery of the Subject Vehicle, the court does not find Code of Civil Procedure section 871.21, subdivision (b), operates as a statute of repose. “[U]nlike a procedural statute of limitations, substantive statutes of repose are generally not subject to statutory or equitable tolling.” (*PGA, supra*, 14 Cal.App.5th at p. 178). Code of Civil Procedure section 871.21, however, expressly provides, “The time periods prescribed in subdivisions (a) and (b) shall be tolled as follows. . . .” (Code Civ. Proc., §871.21, subd. (c)). Since Code of Civil Procedure section 871.21, subdivision (b), is expressly subject to statutory tolling, the court finds it to be a statute of limitation, not a statute of repose. One of the statutory bases for tolling states that the time period is tolled, “For the time the motor vehicle is out of service by reason of repair for any nonconformity.” (Code Civ. Proc., §871.21, subd. (c)(2)). Without specifying the length of time, Plaintiff’s complaint does allege repair attempts were made. (See FAC, ¶21—“Plaintiff took the Subject Vehicle to the authorized repair facility. . . starting at 40k miles on the odometer.”). In view of such allegations, it is not clear from the face of the Plaintiff’s complaint that the first four causes of action are necessarily barred.²

Accordingly, defendant GM’s demurrer to the first through fourth causes of action of Plaintiff’s FAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)], i.e., barred by a statute of repose, is **OVERRULED**.

B. FIFTH CAUSE OF ACTION – FRAUDULENT INDUMENT/CONCEALMENT

1. Statute of Limitations

In demurring to Plaintiff’s fifth cause of action for fraudulent inducement/ concealment, defendant GM contends the limitations period for a claim predicated on fraud is three years from the date Plaintiffs allege they entered into the warranty contract, or March 31, 2021. However, by its express language, the statute of limitations for fraud is three years from the date of “the discovery, by the aggrieved party, of the facts constituting the fraud.” (Code Civ. Proc., § 338, subd. (d); see *Britton v. Girardi* (2015) 235 Cal.App.4th 721, 734).

Defendant GM acknowledges Plaintiff attempts to plead delayed discovery of the fraud. At paragraph 26 of the FAC, Plaintiff alleges she had “no way of knowing about Defendant’s deception with respect to the defects ***until the defect manifested itself and Defendant was unable to repair it after a reasonable number of repair attempts.***” (Emphasis added). Defendant GM then points to paragraph 11 wherein Plaintiff alleges, “Defects and nonconformities to warranty manifested themselves within the applicable express warranty period. . . .”

When evaluating whether a claim is time-barred, the court must determine: (1) which statute of limitations applies, and (2) when the claim accrued. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1316 (*E-Fab*)). Initially, defendant GM contends the cause of action for fraud accrued on the date Plaintiff entered into the warranty contract, i.e., March 15, 2017, and that the cause of action for fraud expired three years later on March 15, 2020. Defendant GM’s analysis is incorrect. The date Plaintiff entered into the warranty contract with defendant GM (or the date of purchase or the date of original delivery) is not the date the cause of action for fraud accrued. Plaintiff’s allegation and acknowledgment that defects/ nonconformities manifested during the applicable express warranty period similarly does not lead to the conclusion that, from the face of the pleading, the fraud cause of action accrued or when. Plaintiff’s FAC attaches the warranty contract which provides powertrain warranty coverage “for 5 years or 60,000 miles, whichever comes first.” The FAC does not allege when along this five (5)

² “[A] demurrer based on an affirmative defense will be sustained only where the face of the complaint discloses that the action is necessarily barred by the defense.” (*Stella v. Asset Management Consultants, Inc.* (2017) 8 Cal.App.5th 181, 191 [213 Cal. Rptr. 3d 850]; accord, *Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1191 [151 Cal. Rptr. 3d 827, 292 P.3d 871] [application on demurrer of affirmative defense of statute of limitations based on facts alleged in a complaint is a legal question subject to de novo review]; *Favila v. Katten Muchin Rosenman LLP* (2010) 188 Cal.App.4th 189, 224 [115 Cal. Rptr. 3d 274] [“It must appear clearly and affirmatively that, upon the face of the complaint [and matters of which the court may properly take judicial notice], the right of action is necessarily barred.”]). (*Heshejin v. Rostami* (2020) 54 Cal.App.5th 984, 992-993).

year timeline the defect manifested itself. It could have been in year one (2017-2018) or in year five (2021-2022). That ambiguity alone is enough to preclude application of the statute of limitations at the demurrer stage. A demurrer is not sustainable on statute of limitations grounds if there is only a possibility that the cause of action is time-barred; the defense must be clearly and affirmatively apparent from the allegations of the pleading [and matters of which the court may properly take judicial notice]. (*E-Fab, supra*, 153 Cal.App.4th at pp. 1315-1316).

2. Pleading Deficiencies

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*)).

In demurring to Plaintiff's fifth cause of action for fraudulent inducement-concealment, defendant GM contends the complaint is defective in that Plaintiff has not pleaded the claim with the requisite specificity.

Though the particularity requirement generally mandates that a plaintiff plead facts establishing the aforementioned items, it is much more difficult to apply this rule in a case of non-disclosure because, as one court explained, "[h]ow does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?" (*Alfaro v. Community Housing Imp. System & Planning Ass'n, Inc.* (2009) 171 Cal.App.4th 1356, 1384). One of the purposes of the specificity requirement is to provide "notice to the defendant, to furnish the defendant with certain definite charged which can be intelligently met." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, internal quotations omitted). However, when "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, even under strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party" (*Id.*, at p. 217).

However, the *Rattagan* court declined to allow a more relaxed pleading standard for claims of concealment, explaining:

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. [Citations omitted.] For instance, in a case such as this, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and the defendant's exclusive knowledge or access to certain facts, as [plaintiff] has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) the defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to the plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. "[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff] ... are insufficient for the foregoing purposes." [Citation.] (*Rattagan, supra*, (2024) 17 Cal.5th at pp. 43-44).

Defendant GM argues Plaintiff's complaint is lacking an allegation concerning the content of the omitted facts and intent to conceal. The court does not agree. The complaint, at paragraphs 59 - 65, define a Transmission Defect and specifically alleges defendant GM failed to disclose this defect to Plaintiff despite acquiring knowledge of the

Transmission Defect. In the court's view, these allegations sufficiently identify the content of the omitted facts as well as fraudulent intent.

Defendant GM argues additionally that the Plaintiff's complaint is lacking any facts establishing defendant GM had a duty to disclose. "The general rule for liability for nondisclosure is that even if material facts are known to one party and not the other, failure to disclose those facts is not actionable fraud unless there is some fiduciary or confidential relationship giving rise to a duty to disclose." (*La Jolla Village Homeowners' Assn. v. Superior Court* (1989) 212 Cal.App.3d 1131, 1151). To maintain a cause of action for fraud through nondisclosure or concealment of facts, a plaintiff must demonstrate that the defendant was under a legal duty to disclose those facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845). "Where ... there is no fiduciary relationship, the duty to disclose generally presupposes a relationship grounded in some sort of transaction between the parties. Thus, a duty to disclose may arise from the relationship between seller and buyer ... or parties entering into any kind of contractual agreement." (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337, internal citations omitted). In *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311-312 (*Bigler*) the court wrote:

Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a "transaction" between the plaintiff and the defendant: "In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294 [85 Cal. Rptr. 444, 466 P.2d 996], italics added, fns. omitted). Other cases have described the requisite relationship with the same term. (See, e.g., *Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4t 1178, 1187 [175 Cal. Rptr. 3d 820] (*Hoffman*); *LiMandri, supra*, 52 Cal.App.4th at p. 337 ["As a matter of common sense, such a relationship can only come into being as a result of some sort of transaction between the parties."]). ***Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.*** (Emphasis added).

Defendant GM contends there is no direct relationship alleged between it and Plaintiff because Plaintiff did not purchase the Subject Vehicle directly from GM. However, earlier in *Bigler*, the court cites with approval the following: " 'A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as "seller and buyer, employer and prospective employee, doctor and patient, ***or parties entering into any kind of contractual arrangement.***" ' " [Citation.] " (*Bigler, supra*, 7 Cal.App.5th at p. 311; emphasis added). Here, although Plaintiff does not allege she directly purchased the Subject Vehicle from defendant GM, Plaintiff has alleged the existence of a contractual agreement (express written warranty) with defendant GM and thus, a basis upon which a duty to disclose arises. (See FAC, ¶6 and Exh. A).

Accordingly, defendant GM's demurrer to the fifth cause of action of Plaintiff's FAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] is OVERRULED.

IV. CONCLUSION

Based on the foregoing, the defendant's demurrer to the first and fourth cause of actions (Song-Beverly Act) and demurrer to the fifth cause of action (fraudulent inducement/concealment) of Plaintiff's FAC are OVERRULED. The Court will prepare the formal Order.

MOTION TO STRIKE (LINE # 3)

In light of the court's ruling above with regard to the fraudulent concealment fifth cause of action, Defendant GM's motion to strike the demand for punitive damages from the FAC's prayer for relief is DENIED.

The Court will prepare the formal Order.

Calendar Lines # 6

Case Name Halo Microelectronics Co., Ltd. et al vs Darson Zhang

Case No. 25CV480225

Petition to Compel Arbitration

I. BACKGROUND

Plaintiffs Halo Microelectronics Co., Ltd. ("HMC") and Halo Microelectronics Int'l Corp. ("HMI") (collectively "Halo") have filed suit against defendant Darson Zhang ("Zhang") for breach of fiduciary duty, conversion, and aiding and abetting breach of fiduciary duty. HMC is a Chinese corporation located in Foshan City, China. (Complaint at ¶ 2). HMI is a Delaware corporation with its principal place of business in San Jose, California, and is an indirect subsidiary of HMC. (*Id.* at ¶ 3). Halo designs, develops, and commercializes high-performance analog and mixed-signal integrated circuit products for consumer and auto electronics. (*Id.* at ¶ 8).

David Nam ("Nam") became CEO of HMI in June 2019 and CEO of HMC in December 2020, overseeing Halo's business operations. (Complaint at ¶¶ 9, 10). In December 2019, HMI hired Zhang as Vice President and General Manager of HMI's Power Conversion Business Unit. (*Id.* at ¶ 12). In July 2021, HMC entered into a joint development agreement with Navitas Semiconductor Ltd. to divest the power conversion business into a separate company. (*Id.* at ¶ 13). HMC and Navitas used Elevation Semiconductor, Inc. (ESI) to carry out research and development into charger and adapter technology. (*Ibid.*). Nam was appointed CEO and director of ESI with Navitas CEO Gene Sheridan as the only other director. (Complaint at ¶ 14). Zhang served as General Manager and Vice President at ESI while continuing to hold positions at HMI. (*Id.* at ¶ 15).

ESI enacted the 2021 Equity Incentive Plan to attract and retain full-time employees. (Complaint at ¶¶ 16, 17). HMC understood the plan was for full-time ESI employees not otherwise employed by Halo, as providing Halo employees with ESI stock options would dramatically overcompensate them. (*Id.* at ¶ 17). Under the First Amendment to the 2021 Equity Incentive Plan, Zhang received 200,000 stock option grants and Nam received 240,000 grants, vesting at 25 percent after the first year and approximately 1.6 percent monthly, thereafter, with acceleration upon change-of-control events. (*Id.* at ¶ 18). Zhang received approximately twenty times more stock than individual full-time ESI engineers. (*Id.* at ¶ 19). Neither Zhang nor Nam disclosed they were awarding themselves substantial ownership stakes in ESI while remaining Halo fiduciaries. (*Ibid.*).

On June 26, 2022, Nam signed an Assignment and Assumption agreement transferring HMC's entire interest in ESI to eventually sell the equity at an artificially low price without HMC's knowledge or consent. (Complaint at ¶ 21). On August 19, 2022, Nam allowed Navitas to obtain legal control of ESI without consideration to HMI. (*Id.* at ¶ 22). Zhang and Nam actively negotiated the sale of HMI's interest in ESI to Navitas to accelerate vesting and obtain more stock options. (*Id.* at ¶ 23). Navitas CEO Gene Sheridan was desperate to acquire HMI's shares as Navitas stock had fallen from \$18.56 per share to \$4.08 per share between October 2021 and October 2022. (*Id.* at ¶ 24).

The parties reached a tentative agreement in October 2022 valuing ESI at \$80 million, meaning HMI would receive \$20 million in Navitas stock. (Complaint at ¶ 25). The existing option pool would increase from 12.7 percent to 15.7 percent. (*Ibid*). Nam would personally receive \$3,120,000 for investing 100 percent in Elevation Microsystems, Nam’s newly formed company designed to compete with Halo. (*Ibid*). Zhang demanded payment to stay silent about Nam’s self-dealing and Elevation Microsystems. (Complaint at ¶ 26). Nam and Sheridan agreed to pay Zhang \$1,600,000 for 100 percent support, which included supporting the undervalued transaction and keeping Nam’s secrets. (*Ibid*).

The parties reached an agreement in January 2023. (Complaint at ¶ 27). On January 18, 2023, Nam and Zhang each signed Key Holder Agreements transferring their vested ESI shares into equivalent Navitas shares. (*Ibid*). Zhang’s agreement shows he owned 340,025 stock options and received \$1,687,952 worth of Navitas stock. (*Ibid*). Nam’s agreement shows he owned 668,030 stock options and received \$2,316,235 worth of Navitas stock. (*Ibid*). On January 19, 2023, Navitas announced acquiring the remaining minority interest in ESI from HMI for \$20 million in Navitas stock. (Complaint at ¶ 28). Following the announcement, Navitas stock rose steadily to \$10.54 per share by June 30, 2023. (*Ibid*). An email from Navitas General Counsel Paul Delva to Nam dated March 19, 2023, outlined concealment efforts, stating it was preferable not to register Nam’s shares to prevent HMC from learning about the improper stock receipt and Navitas’s secret investment in Nam’s company. (Complaint at ¶ 29).

Nam resigned as CEO of ESI following the buyout and stepped down as CEO of HMC in December 2023 but continued as CEO of HMI until March 2025. (Complaint at ¶ 30). At that point, Halo began investigating Nam’s conduct, allegedly revealing widespread breaches of fiduciary duty, fraud, theft, and misuses of confidential information. Halo sued Nam in a separate action. (*Ibid*). Zhang resigned from ESI in February 2023 and continued employment at HMI until leaving in March 2024. (Complaint at ¶ 31).

Zhang now moves to compel arbitration pursuant to the Confidentiality, Non-compete and Invention Assignment Agreement (“the Agreement”). Zhang maintains this action is related to the pending arbitration arising from *Halo Microelectronics Co., Ltd. v. Elevation Microsystems, Inc., et al.*, Case No. 25CV463582 (“*Elevation* action”). Halo argues the Agreement does not cover its claims against Zhang, which are different from the *Elevation* action. Halo also maintains that Zhang waived its right to arbitrate by failing to first mediate this dispute. Having reviewed the Agreement, the Court finds this motion premature for failure to mediate as a condition precedent to arbitration and denies the motion. The Court, however, grants Zhang’s Request for Judicial Notice pursuant to Evidence Code section 452, subdivision (d).

II. LEGAL STANDARD

Under the Federal Arbitration Act (“FAA”), the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170).

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060). The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755).

III. ANALYSIS

A. SCOPE OF THE AGREEMENT

Although Zhang presents a valid agreement to arbitrate, at issue is whether he can show that it encompasses the dispute at issue. “ ‘The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’ ” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166 [internal citations omitted]). Zhang attaches the Agreement as Exhibit A to his declaration. The Agreement bears his signature dated June 8, 2020. By presenting a copy of the Agreement bearing his signature, Zhang has met his initial burden of showing that an agreement to arbitrate exists.

The Agreement contains four categories of provisions relevant to this motion: (1) restrictions on the use and disclosure of confidential information; (2) assignment and return of certain tangible and intangible property; (3) restrictions on competitive activities and solicitation; and (4) an arbitration requirement for any controversies, disputes, or claims arising out of or relating to the Agreement. In this regard, paragraph 10 of the Agreement provides in relevant part:

- b. Arbitration. Subject to the Halo Microelectronics’ and/or the Employee’s right to seek equitable relief if the Mediation was not successful in accordance with the Handbook, the Parties agree that any controversy, dispute or claim arising out of or relating to this Agreement will be settled by a confidential, final and binding arbitration in Los Angeles, California administered by the [Los Angeles office of JAMS, in accordance with the Expedited Procedures in the JAMS Comprehensive Arbitration Rules and Procedures] (the “Arbitration Rules”) then in effect. I acknowledge that by agreeing to arbitrate, I give up my right to litigate their employment dispute in court or to submit to a jury. The decision of arbitrator is final and binding.(Declaration of Darson Zhang [“Zhang Decl.”], Ex. A at ¶10(b)).

“ ‘[T]he decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause is “broad” or “narrow.” A “broad” clause includes those using language such as “any claim arising from or *related to* this agreement” or “arising in connection with the agreement”. It has long been the rule in California that a broadly worded arbitration clause . . . may extend to tort claims that may arise under or from the contractual relationship . . . At most the requirement is that *the dispute* must arise out of the contract.’ ” (*Howard v. Goldbloom* (2018) 30 Cal.App.5th 659, 663-664 [quoting and citing *Rice v. Downs* (2016) 248 Cal.App.4th 175, 186] (*Howard*)). “For a party’s claims to come within the scope of such a clause, the factual allegations of the complaint ‘need only “touch matters” covered by the contract containing the arbitration clause.’ ” (*Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1052 (*Ramos*)). “In contrast, narrow clauses requiring arbitration of claims “ ‘arising from” or “arising out of” an agreement, i.e., excluding language such as “relating to this agreement” or “in connection with this agreement,” are “generally considered to be more limited in scope” [] and ‘have generally been interpreted to apply only to disputes regarding the interpretation and performance of the

agreement.” (Howard, *supra*, 30 Cal.App.5th at p. 664 [quoting and citing Ramos, *supra*, 28 Cal.App.5th at p. 1052]).³

The arbitration clause in the Agreement is broad. It provides that “any controversy, dispute or claim arising out of or relating to this Agreement will be settled by confidential, final, and binding arbitration.” Use of the words “any” and “relating to” requires that at most the dispute arise out of the Agreement. The factual allegations of the Complaint touch matters covered by the Agreement. Paragraph six of the Agreement requires:

During my employment with Halo Microelectronics, I shall not, and shall not permit any persons subject to my direction or control (including my affiliates) to, directly or indirectly, on their on behalf or on behalf of any other person (except the Halo Microelectronics or its affiliates), (i) call upon or solicit business of any person who is a customer or supplier of Halo Microelectronics, (ii) otherwise divert or attempt to divert any business from the Halo Microelectronics, (iii) interfere with the business relationships between the Halo Microelectronics and any of its customers, suppliers, or others with whom they have business relationships.

Pursuant to this paragraph, Zhang was prohibited from allowing his affiliates, such as Nam, from diverting business from Halo. In the breach of fiduciary duty claim, Halo alleges “[o]n information and belief, Mr. Zhang concealed his knowledge of David Nam’s competing business in exchange for money.” (Complaint at ¶ 33). In the conversion claim, Halo alleges that Zhang improperly accepted 140,025 additional stock options for his 100 percent support which included “(1) supporting a transaction that vastly undervalued ESI, (2) keeping David Nam’s self-dealing a secret, and (3) keeping the existence of Elevation Microsystems a secret.” (*Id.* at ¶¶ 37, 26). Finally, in the aiding and abetting claim, Halo alleges Zhang provided “substantial assistance” to Nam in connection with his own breach of fiduciary duties. (*Id.* at ¶ 42). These allegations indicate that Zhang violated paragraph six of the Agreement by concealing Nam’s competitive activities contrary to Halo’s interests in exchange for equity. Halo’s claims, therefore, “relate to” and “touch upon” the subject matter of the Agreement.⁴

To the extent Halo argues the claims are instead covered by the scope of the Employment Agreement which contains an integration clause and no arbitration clause, this argument fails for two reasons. First, Halo attached a copy of the Employment Agreement to its opposition to the earlier petition but not to the instant motion. Second, even if the Court considers the Employment Agreement attached to the earlier petition, it nevertheless references the Agreement at issue. (Opposition at p. 3:23). To incorporate another agreement by reference, “the contract need not recite that it ‘incorporates’ another document, so long as it ‘guide[s] the reader to the incorporated document.’” (*Shaw v. Regents of University of California* (1997) 58 Cal.App.4th 44, 54). Even so, “[s]everal contracts relating to the same matters, between the same parties, and made as part of substantially one transaction, are to be taken together.” (Civ. Code § 1642). Zhang signed both agreements within two months of each other. (Opposition at p.

³ The Court agrees with Zhang’s reading of the relevant authorities. (Reply at p. 5:2-10). *Efund Capital Partners v. Pless* (2007) 150 Cal.App.4th 1311 and *Vianna v. Doctors’ Management Co.* (1994) 27 Cal.App.4th 1186 concern broad arbitration clauses. On the other hand, *Bono v. David* (2007) 147 Cal.App.4th 1055, *Medical Staff of Doctors Medical Center in Modesto v. Kamil* (2005) 132 Cal.App.4th 679, *Howard v. Goldbloom* (2018) 30 Cal.App.5th 659, and *Mortiz v. Universal City Studios LLC* (2020) 54 Cal.App.5th 238, concern narrow arbitration clauses or claims arising from obligations independent of the contract. Although this case is more akin to *Efund* or *Vianna*, the Court nevertheless finds the legal guidance from *Howard* instructive.

⁴ Zhang also contends “[e]quitable estoppel provides a separate and independent basis to compel arbitration of Plaintiff’s claims against Zhang, apart from the direct arbitrability of claims against Nam.” (Reply at p. 7:5-6). Zhang maintains the claims against him center on “whether Nam engaged in the alleged misconduct that is already the subject of the pending arbitration.” (*Id.* at p. 7:21-22). Thus, the claims against Zhang cannot be resolved independently as they underly Nam’s conduct. While Zhang raises these arguments for the first time on reply, the Court in any event need not address them as it has already found that the scope of the Agreement covers Halo’s claims.

3:14; Zhang Decl. at ¶ 3, Ex. A). (See *Bmp Property Dev. v. Melvin* (1988) 198 Cal.App.3d 526, 531 [“It is not necessary these several contracts be executed contemporaneously to bring them within the purview of Civil Code section 1642; it is a question of fact whether the contracts are intended to be elements of a singular transaction.”]) Both agreements involve the same parties and concern the terms of Zhang’s employment. They can, therefore, be taken together. Nonetheless, consideration of the Employment Agreement is not necessary as the Court has concluded that the scope of Halo’s claims are covered by the Agreement.

Lastly, to the extent Zhang argues in its moving papers that equitable estoppel compels arbitration by Halo China, the Court also does not reach this issue. Halo forfeited any argument about non-signatories by not addressing Zhang’s arguments on those points. In any event, the Court in the *Elevation* action concluded “Defendants have demonstrated that the causes of action asserted by Halo are intimately found and intertwined with those asserted by HMI such that equitable estoppel applies, because of their preexisting relationship and because throughout their FAC, Plaintiffs assert their allegations collectively on behalf of ‘Halo’” (Zhang’s Request for Judicial Notice, Ex. 4 at p. 13:1-4). Based on the facts of the Complaint here, the Court applies the same reasoning and likewise concludes “Halo China may be compelled to arbitration under the arbitration provision despite not being a signatory to the Confidentiality Agreement.” (*Id.* at p. 13:9-10).

B. EQUITABLE REMEDIES

Halo argues the Agreement is exempt from equitable remedies; therefore, the equitable relief sought by them is not arbitrable. The second cause of action for conversion seeks equitable remedies. In particular, paragraph 10 provides, “[s]ubject to the Halo Microelectronics’ and/or the Employee’s right to seek equitable relief if the Mediation was not successful in accordance with the Handbook” (Zhang Decl., Ex. A at ¶ 10). Halo argues “the statement ‘[s]ubject to [HMI’s] and/or the Employee’s *right to seek equitable relief*’ would not have been included if it was intended to add no meaning.” (Opposition at p. 13:21-22 [emphasis in original]). Zhang responds that Halo misreads the clause and that the prefatory phrase “*reserves* a litigation option for equitable relief if mediation fails; it does not strip the arbitrator of jurisdiction over equitable claims.” (Mtn. to Compel Arbitration at p. 12:21-22 [emphasis in original]).

Halo advanced the same arguments in the *Elevation* action. The Court in the *Elevation* action rejected Halo’s argument and held that it was “not persuaded by Plaintiffs’ arguments that the FAC’s claims for equitable remedies and for breach of fiduciary duty fall outside the scope of the arbitration provision.” (Zhang’s Request for Judicial Notice, Ex. 4 at p. 14:5-7). The Court finds no reason to deviate from that decision and holds that the prefatory language reserves a litigation option for equitable relief but does not strip the arbitrator of jurisdiction over such claims. Moreover, rule 24(c) of the JAMS Rules incorporated into the Agreement grant the arbitrator with authority to award equitable remedies. (JAMS Comprehensive Arbitration Rules, rule 24(c), available at <https://www.jamsadr.com/rules-comprehensive-arbitration#Rule-24>).

In any event, “‘California has a strong public policy in favor of arbitration’ ‘ . . . arbitration agreements should be liberally interpreted, and arbitration should be ordered unless the agreement clearly does not apply to the dispute in question.’” (*Vianna v. Doctors’ Management Co.* (1994) 27 Cal.App.4th 1186, 1189 [quoting *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 9 and *Weeks v. Cow* (1980) 113 Cal.App.3d 350, 352]). “Doubts as to whether an arbitration clause applies in a particular dispute are to be resolved in favor of sending the parties to arbitration.” (*United Transportation Union v. Southern Cal. Rapid Transit Dist.* (1992) 7 Cal.App.4th 804, 808). Any doubts as to the scope of the Agreement are to be resolved in favor of arbitration. Therefore, the Court does not read the prefatory language to exclude equitable remedies from arbitration.

C. WAIVER FOR FAILURE TO MEDIATE

Here, Halo argues Zhang has waived its right to arbitration by failing to mediate. The Agreement’s dispute resolution procedure requires mediation as follows:

- a. Mediation. The parties hereto agree that any claim or controversy arising out of or relating to this Agreement shall first be submitted to non-binding mediation (“Mediation”) in the Campbell, California. Each party shall bear its own costs and expenses of participating in the Mediation, and each party shall bear one half (1/2) of the fees of the mediator. The mediator shall be selected by the parties’ mutual agreement within ten (10) calendar days of the date of the notice by one party to the other requesting mediation (“Mediation Notice”). If the parties cannot timely mutually agree upon a mediator, the American Arbitration Association in Campbell, California shall promptly select a mediator. The parties agree that time is of the essence and that they will each, in good faith, seek to conclude the mediation process within sixty (60) days following the date of the Mediation Notice. If the parties have not satisfactorily concluded the mediation process on or prior to the sixtieth (60th) day following the date of the Mediation Notice, then either party may give the other party written notice to terminate the Mediation and submit their dispute to arbitration or pursue the filing of a lawsuit. (Zhang Decl., Ex. A at ¶ 10(a)).

“Several federal appellate courts have held that, when the terms of the arbitration agreement include submission of the dispute to mediation as a condition precedent, then the court should not compel arbitration when the parties have failed to mediate the dispute.” (*Mostowfi v. 12 Telecom Int’l Inc.* (2004) No. C03-5784 VRW, U.S. Dist. LEXIS 33321 at 12 [citing *Him Portland v. Devito Builders* (1st Cir. Jan. 17, 2003) 317 F.3d 41 and *Kemiron Atl., Inc. v. Aguakem Int’l Inc.* (11th Cir. May 8, 2002) 290 F.3d 1287]). The Agreement is clear that the parties must first submit this action to mediation as a condition precedent before resorting to arbitration. (See *Platt Pacific, Inc. v. Anderson* (1993) 6 Cal.4th 307, 313 (*Platt Pacific*) [“Thus, a condition precedent is either an act of a party that must be performed or a certain event that must happen before the contractual right accrues or the contractual duty arises.”])).

Unlike the *Elevation* action, the parties here have not mediated their claims. (Zhang’s Request for Judicial Notice, Ex. 4 at p. 14:26-27 [“Defendants assert that mediation occurred and was completed on September 2, 2025, and was therefore complete within the requisite timeframe.”])). As Zhang points out, Halo initiated this action and did so without first seeking to mediate. Halo maintains they did not believe their causes of action against Zhang were arbitrable and, therefore, had no reason to seek mediation. Nevertheless, the language of the provision here imposes the requirement to mediate on both parties. (See cf. *Azrate v. ACE American Ins. Co.* (2025) 108 Cal.App.5th 1191, 1200 [noting that the language of the agreement stating, “a party who wants to start the arbitration procedure,” referred to an action by a plaintiff]). In this instance, both parties were obligated to submit this matter to mediation.

“The nonoccurrence of a condition precedent may be excused for a number of legally recognized reasons. But when a party has failed to fulfill a condition that was within its power to perform, it is not an excuse that the party did not thereby intend to surrender any rights under the agreement.” (*Platt Pacific, supra*, 6 Cal.4th at p. 314). In this regard, “[t]o establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584).

Here, Halo failed to submit this matter to mediation in the first place and instead chose to pursue this action in court believing that the Agreement did not apply. Zhang, on the other hand, has maintained that the dispute is

subject to the Agreement, has been aware that the parties are required to first submit to mediation, and has yet moved to compel this action to arbitration. Based on the language of the Agreement, the Court finds that mediation is a condition precedent that must be completed before the matter can be ordered to arbitration. If mediation is unsuccessful, *then* the dispute between the parties can be sent to arbitration. There is no evidence that either party requested mediation or declined prior to filing this motion. Zhang, as the moving party, has not fulfilled the mediation condition precedent contained in the Agreement. For this reason, the motion to compel arbitration is DENIED without prejudice to being refiled after the parties have fulfilled the mediation requirement in the Agreement. Accordingly, the motion is premature, and the matter cannot be submitted to arbitration at this time.

IV. CONCLUSION

Based on the foregoing, the motion to compel is DENIED without prejudice.
The Court will prepare the formal Order.

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9:01 A.M.

Calendar Lines # 1
Case Name Oswald Campesato vs Jiahua Huang et al
Case No. 21CV391687

Order Determining Claim of Exemption

I. BACKGROUND

A. BRIEF FACTUAL BACKGROUND

This case arises from a wrongful eviction action by tenant/Plaintiff Oswald Capesato (“Plaintiff Capesato”) against landlord/Defendants Jiahua Huang and Jane Huang. Plaintiff Capesato filed a Complaint against the Defendants on November 24, 2021, which included nine causes of actions, including allegations of wrongful evidence, nuisance, negligence, and sexual harassment. (Compliant). Defendants filed a cross-complaint for damages and defamation against the plaintiff. (Cross-Compliant and Amended Cross-Complaint).

On or around February 27, 2024, a default judgment was entered against the defendants and in favor of the plaintiff in the amount of \$458,875.03. On August 20, 2024, the Honorable Eric Geffon set aside the defaults.

In September 2025, parties engaged in a Mandatory settlement conferred and executed a bidding written settlement agreement disposing of all claims. On October 22, 2025, a stipulation for an entry of judgment was filed in the amount of \$50,000.00 and attorney’s fees and sanctions in favor of the plaintiff and against the Defendants. (Declaration of Liddicoat; Exhibit C).

B. RELEVANT PROCEDURAL BACKGROUND

An abstract of Judgment was recorded on January 12, 2026, which created a judgment lien against the real property, a residence located at 10197 Finch Avenue, Cupertino, California, 95014. (“Subject Property”) (Plaintiff’s Opposition, p. 2). The Subject Property is described as a single family residence with five bedrooms and two bathrooms. Plaintiff asserts that the judgment debtors/defendants are the owners of the Subject Property. (*Id.*).

On February 17, 2026, the plaintiff filed a writ of execution of the money judgment by sale of real property, the residence located at 10197 Finch Avenue, Cupertino, California, 95014. On or around May 11, 2026, the Santa Clara County Sheriff’s levied upon the Subject Property. (Declaration of Liddicoat; Exhibit D).

The Defendants filed a claim of exemption on May 29, 2025 (the document was signed May 11, 2025). No proof of service was attached. However, the Court notes that the Defendant filed opposition briefs on May 21, 2026 and thereafter. Defendant asserts that the property does not belong to her and that she is only a fiduciary or trustee without any property interest. (Defendants Claim of Exemption, p. 1-2). No statements were submitted under oath. No financial statement was provided by Defendants.

The plaintiff repudiates the defendants assertion and asserts that the Subject Property is owned by the defendants. (Plaintiff's Opposition, p. 2). Plaintiff obtained a litigation guaranty from First American Title Company reflecting that the property is owned by the Judgment Debtors/Defendants. (Declaration of Liddicoat; Exhibit A). Plaintiff asserts that after litigation commenced, Defendants attempted to transfer the title into a non-existent GG Trust. (Plaintiff's Opposition, p. 24). Further, plaintiff counsel points to the May 2, 2025 deposition of Defendant Jane Wang who admitted under oath during a pretrial deposition that the defendants owned the Subject Property. (Declaration of Liddicoat; Exhibit B).

Plaintiff asserts that the fair market value of the Subject Property is approximately \$3,000,000.00. (Declaration of William Strohmeier; Declaration of Liddicoat; Exhibit F). Plaintiff asserts that there appears to be no consensual liens or deeds of trust. (*Id.*).

Plaintiff asserts that even assuming full homestead exemption applies, based on the evaluation of the home, substantial nonexempt equity exists to sufficiently satisfy the judgment and cost of sale. (Plaintiff's Opposition, p. 5-6). Plaintiff avers that based on the \$3,000,000.00 assessment of the Subject Property, the statewide maximum for a homestead exemption would amount to \$746,640.00. Thus, Plaintiff seeks to have the claim of exemption denied or limited and allow the levy to proceed.

On June 5, 2026, Defendants filed a response disputing the \$3,000,000.00 assessment of the Subject Property as significantly overstated. (Defendants Response, p. 1). Defendants assert that her involvement in the Subject Property is limited to a trustee capacity and that any ownership interest attributed to the defendants would be substantially less than the amount claimed. (*Id.*).

II. LEGAL STANDARD

Under Code of Civil Procedure section 695.010, subdivision (a), except as otherwise provided by law, all property of the judgment debtor is subject to enforcement of a money judgment. After entry of a money judgment other than those arising from the Family Code (subject to additional requirements), and upon application of the judgment creditor, the clerk of the court shall issue a writ of execution, which must be directed to the levying officer in the county where the levy is to be made and to any registered process server. (Code Civ. Proc., § 699.510).

Code of Civil Procedure section 703.510 provides that property that has been levied upon may be claimed to be exempt as provided in Code of Civil Procedure sections 703.510 to 703.610 unless otherwise provided by statute. (Code Civ. Proc., § 703.510, subd. (a); see Code Civ. Proc., §§ 703.510-703.610 [Enforcement of Money Judgments, Exemptions, Procedure for Claiming Exemptions After Levy]). The debtor must make the claim within 15 days of the date the notice of levy on the property was served (20 days if the notice of levy was served by mail). (Code Civ. Proc., § 703.520, subd. (a)).

The claim must be executed under oath and include the name and mailing address of the claimant, a description of the property claimed to be exempt, a financial statement as required by section 703.530, a citation of the statute on which the claim is based, and a statement of facts necessary to support the claim. (Code Civ. Proc., § 703.520, subd. (b).) A financial statement is required where property is claimed as exempt pursuant to a provision exempting

property to the extent necessary for the support of the judgment debtor and the spouse and dependents of the judgment debtor. (Code Civ. Proc., § 703.530, subd. (a).) The financial statement must be executed under oath by the judgment debtor and the debtor's spouse unless the same are living separate and apart, and must include:

- (1) The name of the spouse of the judgment debtor;
- (2) The name, age, and relationship of all persons dependent upon the judgment debtor or the spouse of the judgment debtor for support;
- (3) All sources and the amounts of earnings and other income of the judgment debtor and the spouse and dependents of the judgment debtor;
- (4) A list of the assets of the judgment debtor and the spouse and dependents of the judgment debtor and the value of such assets; and
- (5) All outstanding obligations of the judgment debtor and the spouse and dependents of the judgment debtor. (Code Civ. Proc., § 703.530, subds. (b)(1)-(5), (c)).

Section 703.570(a) provides that the hearing on the motion shall be held not later than 30 days from the date the notice of motion was filed with the court unless continued by the court for good cause. The claim of exemption is deemed controverted by the notice of opposition to the claim of exemption and both shall be received in evidence. (Code Civ. Proc., § 703.580, subd. (c)). If no other evidence is offered, the court, if satisfied that sufficient facts are shown by the claim of exemption (including the financial statement if one is required) and the notice of opposition, may make its determination thereon. (Code Civ. Proc., § 703.580, subd. (c).) If not satisfied, the court shall order the hearing continued for the production of other evidence, oral or documentary. (Code Civ. Proc., § 703.580, subd. (c)). Section 703.580(b) provides that the claimant has the burden of proof at the hearing.

Code of Civil Procedure section 704.780 sets forth the procedures for evaluation an application for order of sale of a dwelling. "The court shall determine whether the dwelling is exempt. If the court determines that the dwelling is exempt, the court shall determine the amount of the homestead exemption and the fair market value of the dwelling. The court shall make an order for sale of the dwelling subject to the homestead exemption, unless the court determines that the sale of the dwelling would not be likely to produce a bid sufficient to satisfy any part of the amount due on the judgment pursuant to Section 704.800." (Code Civ. Proc. § 704.780, subd. (b)).

"Homestead" means the principal dwelling (1) in which the judgment debtor or the judgment debtor's spouse resided on the date the judgment creditor's lien attached to the dwelling, and (2) in which the judgment debtor or the judgment debtor's spouse resided continuously thereafter until the date of the court determination that the dwelling is a homestead. (Code Civ. Proc. § 704.710, subd. (c).) "A homestead is exempt from sale under this division to the extent provided in Section 704.800." (Code Civ. Proc. § 704.720, subd. (a)).

Under Code of Civil Procedure § 704.780, where the records of the county tax assessor indicate that there is not a current homeowner's exemption for the dwelling, "the burden of proof that the dwelling is a homestead is on the one who claims that the dwelling is a homestead." (Code Civ. Proc. § 704.780, subd. (a)(1)).

III. ANALYSIS

Here, Plaintiff's counsel states that a guaranty from First American Title Company show that the property is owned by the Judgment Debtors/Defendants. (Declaration of Liddicoat; Exhibit A). The court notes that no records from the Santa Clara County recorder show a homestead declaration has been recorded with the tax [with the tax](#) assessor. Defendants have presented no evidence that a homestead declaration has been recorded. Defendants bear the burden of showing that homestead applies. However, it is unopposed that Defendant Jane Wang resided at the Subject Property and with her child, which presents some evidence that the Subject Property was and is her primary residence. However, in Plaintiff's response she simply states that "[t]he property serves as a residence and the loss of the property would create severe hardship." (Plaintiff's Response, p. 2).

As to the evaluation of the property, the plaintiff proffers opinion from William Strohmeyer, a veteran real-estate agent in Santa Clara County, who evaluated the fair market value of the Subject Property at \$3,000,000.00. (Declaration of William Strohmeyer; Declaration of Liddicoat; Exhibit F). Plaintiff provides that a Zillow estimate evaluates the Subject Property at \$3,367,00.00. Plaintiff's counsel that there appears to be no consensual liens or deeds of trust. (*Id.*). Thus, per Plaintiff's counsel, a homestead exemption would be capped at \$746,640.00. Plaintiff's counsel asserts that the sale of the subject property, even with homestead, would provide more than enough revenue to fulfill the \$50,000.00 judgment.

Defendants reject this assessment as inflated and asserts that "[t]he most recent estimates available to be were less than half of the amount and did not account for party's condition, deferred maintenance, roof leaks, repair costs, private loans, and other factors affecting market value." (Defendants Response, p. 1). Again, no business record of the assessment or evaluation to refute the plaintiff's assessment of the Subject Property was produced. Defendants do not provide a breakdown or proof of any current liens on the Subject Property by identifying the loan holder and amounts due. Defendants assert that the loss of property would result in severe hardship. (*Id.*). Defendants also refutes the underlying claim, which this Court does not have jurisdiction to revisit.

Given the current presentation, the court finds the defendants have not met its burden of showing of exemption. Even if a homestead exemption was allotted, the defendants have not provided evidence that sale of the Subject Property would not likely produce a bid sufficient to satisfy any part of the amount due on the judgment under Code of Civil Procedure section 704.780. The homestead exemption is calculated based on the assessed value less exemptions multiplied by the tax rate plus fixed charges.

IV. CONCLUSION

Based on the foregoing, the Order for Claim of Exemption is limited to \$746,640.00 and the plaintiff is allowed to proceed with the levy. This matter is set for a hearing on the sale of the Subject Property on July 7, 2026 at 9:00 a.m. in Department 1. The Court will provide the Order.